ECO402

Quiz#2

Attempt By HB



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1. Slope of income consumption curve for an inferior good is:
    a. Positive
    b. Negative. ✔^{HB}
    c. First positive then negative.
    d. First negative then positive.
2. For normal goods, Engel curve always have_____ slope.
    a. Perfectly inelastic
    b. Positive ✔^{HB}
    c. Negative
    d. Infinite
3. A negative network externality is best described by which of the following:
    a. Two-part tariff
    b. Price discrimination
    c. Bandwagon effect
    d. Snob effect ✔^{HB}
4. Assume that two investment opportunities have identical expected values of Rs. 100,000. Investment A has a variance of 25,000 while investment B's variance is 10,000. We would expect most investors (who dislike risk) to prefer investment opportunity:
    a. B because it has less risk. ✔^{HB}
    b. A because it has less risk.
    c. B because of its higher potential earnings.
    d. A because it provides higher potential earnings.
5. Which of the following is correct mathematical expression of expected value of two outcomes having payoffs "X1" and "X2", and probabilities of Pr1 and Pr2, respectively?
    a. E(X)=Pr1X2 * Pr1X2
    b. E(X)=Pr1X1 + Pr2X2 ✔^{HB}
    c. E(X)=Pr1X2 / Pr1X2
    d. E(X)=Pr1X2 - Pr1X2
6. Which of the following assets is almost riskless?
    a. Short-term government bonds ✔^{HB}
    b. Common stocks

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c. Long-term corporate bonds
d. Shares of a private company

7. Which of the following pairs of goods are NOT complements?
   a. Petrol and car
   b. Pen and ink
   c. Margarine and butter ✔^{HB}
   d. Mobile and sim
8. If a person shows a preference towards an uncertain income over a certain income with the same expected value, then this person is called as:
   a. Risk loving ✔^{HB}
   b. Irrational
   c. Risk neutral
   d. Risk averse
9. Maria has diminishing marginal utility of income. Based on this information, Maria can be considered as:
   a. Risk loving
   b. Risk neutral
   c. Risk averse ✔^{HB}
   d. Irrational
10. The bandwagon effect corresponds best to which of the following?
   a. Negative network externality.
   b. External economy.
   c. Snob effect.
   d. Positive network externality. ✔^{HB}

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1. If the cross-price elasticity of demand is -2, it implies that the products are:
    a. Inferior goods
    b. Unrelated goods
    c. Complements✔^{HB}
    d. Substitutes
2. Suppose a college professor opens an academy for coaching classes and hires three additional teachers. The college professor would most likely be considered which of the following factors of production?
    a. Capital
    b. Entrepreneurship✔^{HB}
    c. Land
    d. Labor
3. The cross price elasticity of demand for tennis balls and rackets is -3. This indicates that tennis balls and rackets are:
    a. Unrelated goods
    b. Complements✔^{HB}
    c. Inferior goods
    d. Substitutes
4. Since car and petrol are complements to each other, if price of petrol decrease then it will Shift the:
    a. Demand curve of car towards left.
    b. Demand curve of car towards right. ✔^{HB}

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c. Supply curve of car towards right.
d. Demand curve of petrol towards left.

5. OPEC is an example of:
   a. Illegal market
   b. Non-competitive market ✔HB
   c. Legal market
   d. Competitive market

6. Cross price elasticity of demand for the complements will always be:
   a. Zero
   b. Infinity
   c. Negative ✔HB
   d. Positive

7. Coffee and tea are considered as substitutes, if price of tea increases then it will shift:
   a. Supply curve for coffee towards left.
   b. Demand curve for coffee towards left.
   c. Demand curve for tea towards right.
   d. Demand curve for coffee towards right. ✔HB

8. Basic economic problem of every economy is:
   a. Unlimited wants and needs. ✔HB
   b. Abundant productive labor.
   c. Unlimited material resources.
   d. Abundant productive capital.

9. The demand curve becomes vertical if the price elasticity of demand is:
   a. Negative

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b. Infinite
c. Positive
d. Zero✔^{HB}

10. Slope of indifference curve is known as Marginal rate of:
a. Disutility.
b. Technical substitution.
c. Utility.
d. Substitution. ✔^{HB}

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1. If the percentage change in quantity demanded for milk is same as the percentage change in price of milk then the price elasticity of demand for milk is:
    a. Unitary elastic.
    b. Elastic.
    c. Perfectly elastic.
    d. Inelastic.
2. It is a general behavior of the firms that when price of a product goes up firms produce more of it. Which type of economic statement is this?
    a. Positive
    b. Normative
    c. Welfare
    d. Negative
3. DVD players and DVDs are:
    a. Independent goods
    b. Complementary goods
    c. Substitute goods
    d. nferior goods
4. If X is a normal good, a rise in money income will shift the:
    a. Demand curve for X to the left
    b. Supply curve for X to the left
    c. Demand curve for X to the right
    d. Supply curve for X to the right
5. When the actual market price exceeds the equilibrium market price, there will be:
    a. Downward pressure on the market price.
    b. Upward pressure on the market price.
    c. No purchases made.

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d. No pressure on the market price.

6. Which of the following is a branch of economics that deals with observations of real economic facts?
   a. Positive economics
   b. Welfare economics
   c. All of the given options
   d. Normative economics
7. Which of the following statements is correct?
   a. Income elasticity of demand for normal goods is negative.
   b. Income elasticity of demand for inferior goods is positive.
   c. Cross elasticity of demand for substitutes is positive.
   d. Cross elasticity of demand for substitutes is negative.
8. Responsiveness of percentage change in quantity demanded of one good due to one percentage change in price of another good is familiarly known as_____ elasticity of demand.
   a. Price
   b. Point price
   c. Cross-price
   d. Income
9. When the actual market price is lower than the equilibrium market price in goods market then there will be:
   a. Shortage.
   b. Further decrease in price.
   c. Surplus.

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d. Neither shortage nor surplus.

10. OPEC is an example of
    a. Competitive market
    b. Non-competitive market
    c. None of the given options
    d. Illegal market

ECO402 - Microeconomics (Quiz 02)

11. Which of the following is an example of positive feedback externality?
    a. Snob effect
    b. Mainframe computers: 1954 - 1965 HB
    c. Pollution
    d. Two-part tariff

12. Rabia is shopping for new car. She expects to pay Rs. 12,000 with 0.25 probability and Rs. 20,000 with 0.75 probability.

13. Refer to the above scenario, Rabia's expected value for his car is:
    a. Rs. 17,500.
    b. Rs. 19,000.
    c. Rs. 20,000.
    d. Rs. 18,000.

14. The difference between the maximum amount a consumer is willing to pay and amount actually paid for a good is known as:
    a. Marginal rate of substitution.
    b. Consumer demand.
    c. Consumer surplus. HB
    d. Consumer preferences.

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15. Suppose an individual is spending all his income on buying only two goods, X and Y. Which of the following expressions represents the utility maximizing market basket?
    a. MRSxy = Px/Py.
    b. MRSxy = money income.
    c. . MRSxy is at a maximum.
    d. Px/Py = money income.
16. According to Snob effect, when consumers believe more people have purchased the product, the demand curve:
    a. Shifts to the left HB
    b. Becomes perfectly elastic
    c. Becomes perfectly inelastic
    d. Shifts to the right
17. When the total utility increases then marginal utility:
    a. Increases.
    b. Remains Constant.
    c. Decreases. HB
    d. First decreases then increases.
18. The demand of a consumer is inversely related to the demand of other consumers. This phenomenon is explained by_____ effect.
    a. Snob HB
    b. Bandwagon
    c. Income
    d. Substitution

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19. If a person shows no preference between a certain income and an uncertain income with the same expected value, then this person is called as:
    a. Risk loving
    b. Risk averse
    c. Risk neutral HB
    d. Irrational
20. Suppose Ali is choosing between two jobs that have same expected value of Rs. 17,000. Job 1 has a standard deviation of 800 while job 2's standard deviation is 150. Ali will prefer job:
    a. 1 because of its higher potential earnings.
    b. 2 because it provides higher potential earnings.
    c. 1 because it has less risk.
    d. 2 because it has less risk.
21. A negative network externality is best described by which of the following:
    a. Bandwagon effect
    b. Price discrimination
    c. Two-part tariff
    d. Snob effect HB

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